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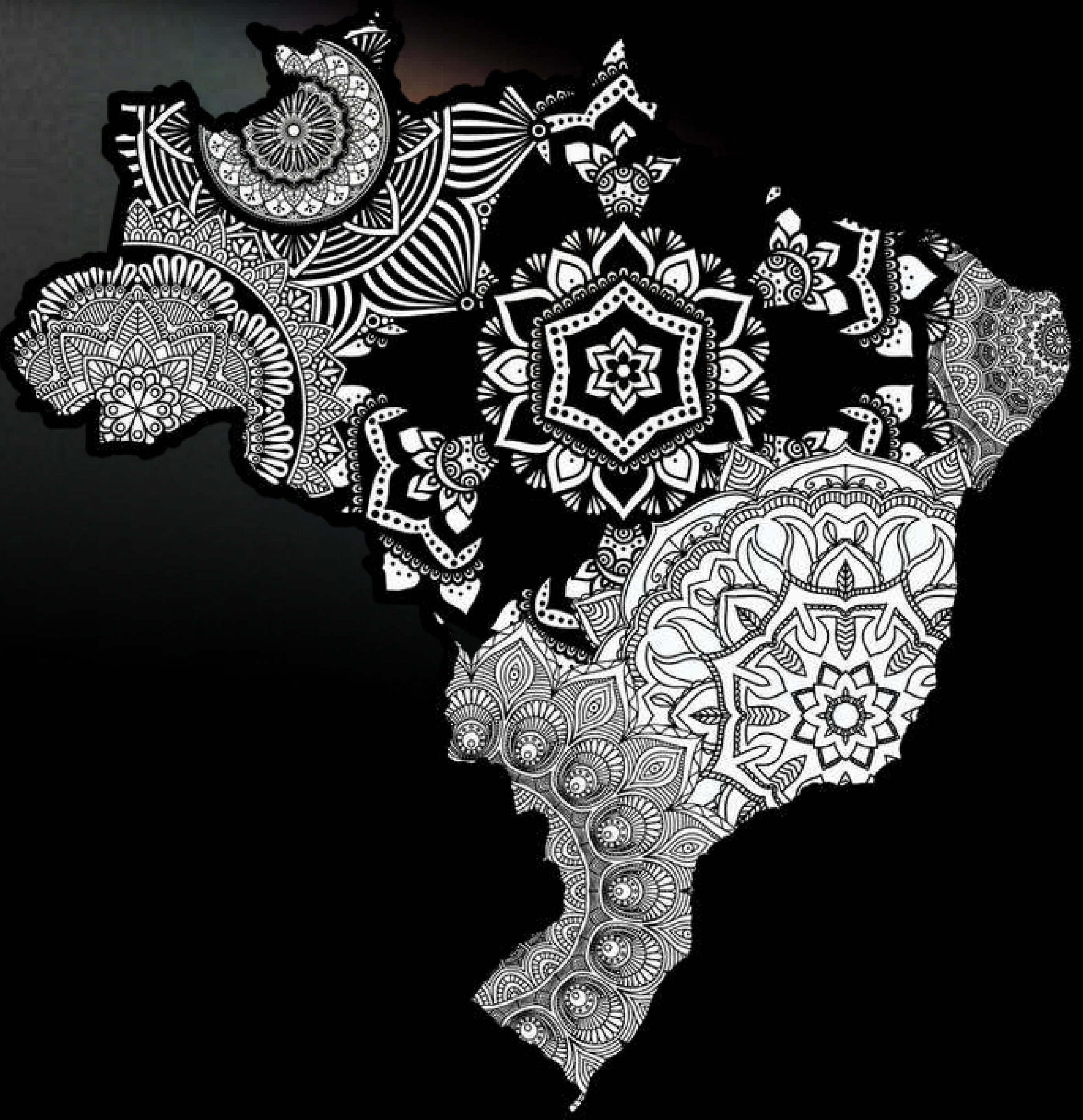
International Petroleum Agreements & Joint Ventures in Brazil



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International Petroleum Agreements & Joint Ventures in Brazil

The course “International Petroleum Agreements and Joint Ventures in Brazil” is an intensive training programme that walks participants through the full spectrum of Brazil’s petroleum legal regime and its application to joint ventures, from constitutional and legislative foundations to detailed joint operating agreement (JOA) practice and related commercial contracts. It starts with a kickoff session on programme structure and materials, then progresses through why companies enter joint ventures, what makes the Brazilian context unique, types of petroleum contracts, and how Brazil’s petroleum regime shapes investment decisions and JV structures. Subsequent modules cover agreements that lead to joint ventures, the design of carried interests, the choice between unincorporated and incorporated JVs, international JOA models and Brazil’s path, customization of JOAs for Brazilian law, key JOA concepts and issues (including operator duties, voting, sole risk, default, and dispute resolution), JOA accounting procedures, and common joint venture problems and risk areas. The programme concludes with a survey of joint venture–related agreements beyond the JOA in Brazil and internationally, spanning upstream unitization arrangements, facilities and midstream agreements, marketing agreements, and divestment structures such as net profits interests and overriding royalties.

LOCATION

RIO DE JANEIRO

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Course Objectives

The objectives of the programme are to equip participants with a structured understanding of Brazil's petroleum regime and how it impacts the design, negotiation, and administration of petroleum agreements and joint ventures. It aims to build the ability to distinguish among key contract forms (licenses, JVs, PSCs, and service contracts), to analyse investor and state concerns within the Brazilian legal and regulatory framework, and to evaluate how that framework fosters or constrains petroleum investment. The course also seeks to develop practical skills in tailoring JOAs and related agreements to Brazilian law and practice, managing major risk and governance issues within JOAs, and diagnosing and addressing typical joint venture problems across the asset life cycle.

Course Audience

The intended audience is professionals involved in upstream oil and gas projects who need a focused, Brazil-specific view of international petroleum agreements and joint ventures, including lawyers, contract negotiators, commercial managers, business development professionals, and senior technical staff engaged in JV governance. It is particularly relevant for staff of international oil companies, Brazilian and other national oil companies, and investors who participate in or oversee Brazilian E&P joint ventures and must interface with Brazil's petroleum regime and local practices. The course is also suitable for government officials, regulators, and advisors who work on petroleum policy, licensing, or JV oversight and who require deeper insight into how contractual structures, JOAs, and ancillary agreements function in the Brazilian context.

1. Programme Introduction

- Kickoff Session: Introduction to Program
  - Program Outline
  - Materials
  - Overall Summary of Training Objectives

2. Strategic Rationale for Joint Ventures

- Why a Joint Venture?
  - Principal Reasons:
    - Capital
    - Land
    - Technology
    - Personnel
  - Alternate Reasons:
    - Condition of access
    - Managing geological and commercial risk
    - Managing political risk
    - Enhancing competitive strength

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3. Brazil Country and Regime Context

- Joint Ventures in Brazil: What makes Brazil unique in terms of Joint Ventures
- Understanding a 'Petroleum Regime'
  - Constitution
  - Petroleum Law (Secondary Laws)
  - Regulations
  - Petroleum Contracts
- The Petroleum Regime of Brazil and Why It Matters for Brazil Joint Ventures
- Petroleum Contracts in Brazil
  - Past Usage
  - Current Petroleum Contracts
- Fostering Investment: The Role of the Petroleum Regime
  - Role of the legal and contractual climate in encouraging petroleum investments
  - Attributes of the legal and contract regime that foster investment
  - Concerns of the investors:
    - Right to monetise
    - Stability
    - Enforceable international arbitration
  - Concerns of the state:
    - Fair share of petroleum revenue
    - Prompt exploration
    - Appropriate environmental controls
    - Local content issues
    - Purchasing of local goods & services
    - Hiring local personnel
    - Training local personnel
    - Reasonable activity controls
  - Administration
  - Transparency & good governance in resource management
- Brazil as a Leader in Petroleum Investment

4. Contract Types and Pre-JV Arrangements

- Types of Petroleum Contracts and How to Distinguish among them
  - License
  - Joint Venture
  - Production Sharing Contract
  - Service Contract
- Agreements Leading to a Joint Venture
  - Joint Bidding Agreement
  - Area of Mutual Interest Agreement
  - Unit Agreement
  - Pooling Agreement
  - Farmout Agreement:
    - In USA and Canada
    - In Brazil
    - In Rest of the World
- Carried Interests
  - Five Steps in Creating a Carried Interest:
    - Define Carried Costs
    - Establish Duration of Carry
    - Determine if Recoverable
    - Define Recoverable Costs
    - Source of Recovery
  - Carried Interests in Brazil – Similarities and Differences
- Unincorporated vs Incorporated Joint Ventures
  - Why do IOCs prefer Unincorporated JVs in the Upstream
  - Using Incorporated JVs
  - Usage in Brazil

5. Joint Operating Agreements: Design and Customisation

- The Need for a JOA
- Joint Operating Agreements
  - International Models:
    - AIPN
    - AAPL
    - CAPL
    - UKOOA
  - Which Path has Brazil taken?
- Customizing the JOA
  - Matching the Relevant Host Government Contract
  - Modifying to Suit Brazilian Law
  - Adjusting to the Relevant Circumstances
  - Bargaining Power of Parties
  - State Oil Company vs International Oil Company
  - Farmout vs Farmin

6. JOA Issues, Governance and Risk Allocation

- Issues in JOAs
  - The Big Six
  - Three Key Issues for Non-Operators:
    - Liability
    - Slow Pace of Activities
    - Aggressive Pace of Activities
  - Operator vs Non-Operator
  - Understanding How These Issues are Addressed in Brazil JVs
- Key Concepts of Joint Operating Agreements
  - Participating Interest
  - Operator
  - Designation of Operator
  - Operator Duties and Responsibilities
  - Removal of Operator
  - Passmark Vote
  - Budgets and Work Programs
  - AFEs
- Specific JOA Issues
  - Scope of Agreement
  - Operator Indemnity
  - Operating Committee and Passmark Voting
  - Work Programs and Budgets
  - Procurement
  - Sole Risk (International Survey of Premia)
  - Defaulting Participant and Remedies
  - Take in Kind
  - Withdrawal and Surrender
  - Transfer
  - Dispute Resolution
  - Governing Law
- JOA Accounting Procedure
  - Cash Calls
  - Audits
  - Direct Costs
  - Indirect Costs
  - Warehousing and Inventories

7. Common Joint Venture Problems

- Joint Venture Problems
  - Take in Kind Issues
  - The Defaulting Participant
  - Fiduciary Duties

8. Beyond the JOA: Broader JV Agreement Suite

- Joint Venture Agreements Beyond the JOA in Brazil and Internationally
  - What circumstances require joint venture agreements other than a JOA
  - Upstream:
    - Unit Agreement and Unit Operating Agreement
    - Brazilian Practice
    - Pooling Agreement (not utilised in Brazil)
  - Tangibles:
    - Construction, Ownership and Operation Agreement for Facilities
    - Product Allocation Agreement
    - Common Stream Agreement
    - Processing Agreement
    - Transportation Agreement
  - Marketing:
    - Joint Marketing Agreement
    - Take in Kind Agreement
    - Gas Balancing Agreement
  - Divestment:
    - Purchase & Sale Agreement
    - Net Profits Interest Agreement
    - Gross Overriding Royalty Agreement

How the course is structured?

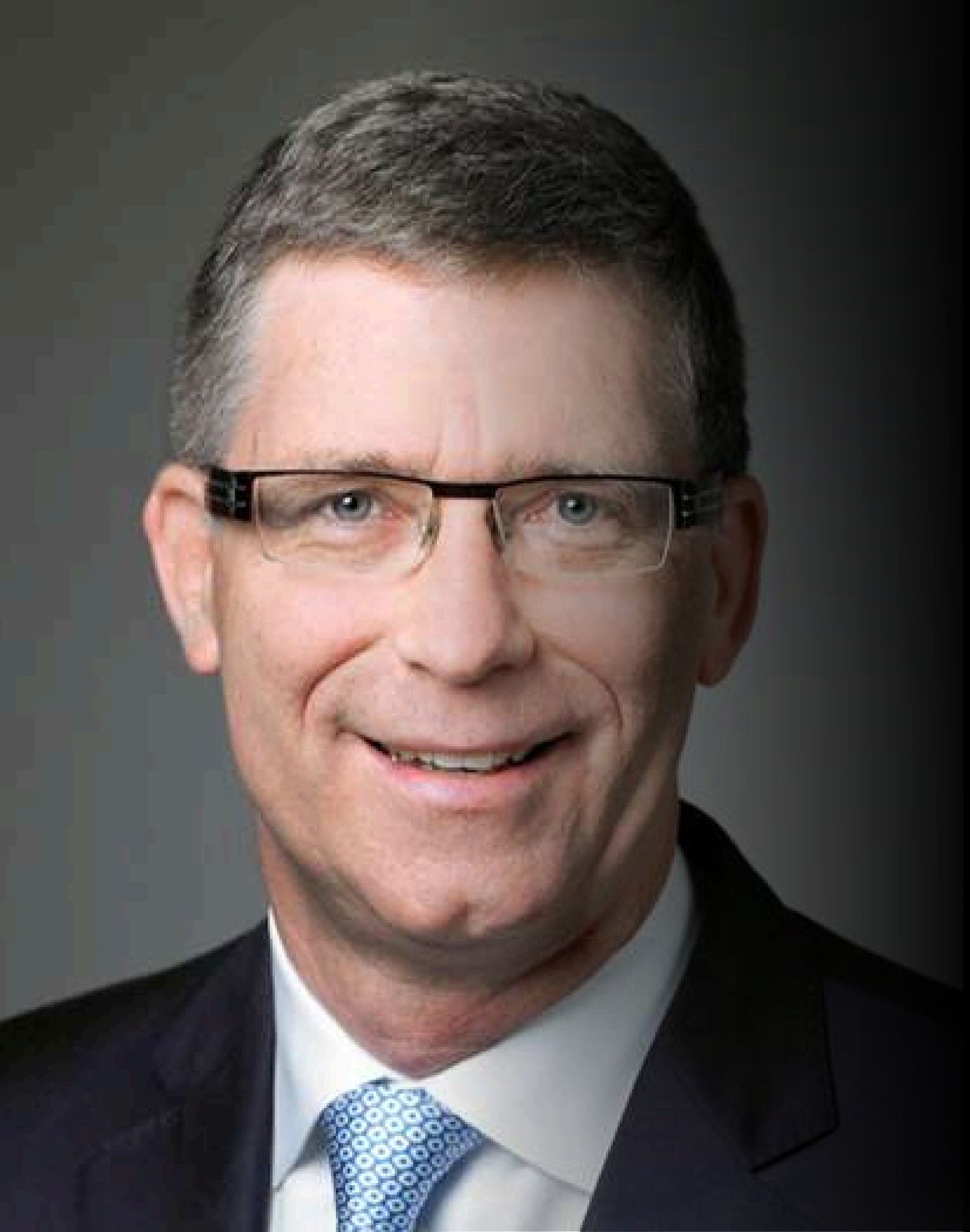
The course is structured as a step-by-step journey that takes participants from “why joint ventures exist” through “how they work in Brazil” to “how to manage and troubleshoot them in practice.”

It starts with a short introductory session that sets expectations, explains materials, and outlines the overall training objectives so participants know how each block of content fits into the bigger picture.

The first substantive block explains the commercial rationale for joint ventures and the specific ways in which Brazil’s legal and petroleum regime shape JV opportunities, risks, and contract choices. From there, the programme moves into the different types of petroleum contracts and pre-JV arrangements (bidding, farmouts, carried interests, unincorporated vs incorporated JVs), showing how a JV is actually created and structured in Brazil compared to other jurisdictions

Once that foundation is in place, the course focuses on Joint Operating Agreements: why a JOA is needed, the main international models, and how to customise these to Brazilian law, host-government contracts, and the specific bargaining dynamics between NOCs, IOCs, and other partners. This naturally leads into a detailed treatment of governance, decision-making, risk allocation, and accounting within JOAs, including operator duties, non-operator protections, voting mechanisms, sole-risk provisions, default remedies, and JV accounting procedures.

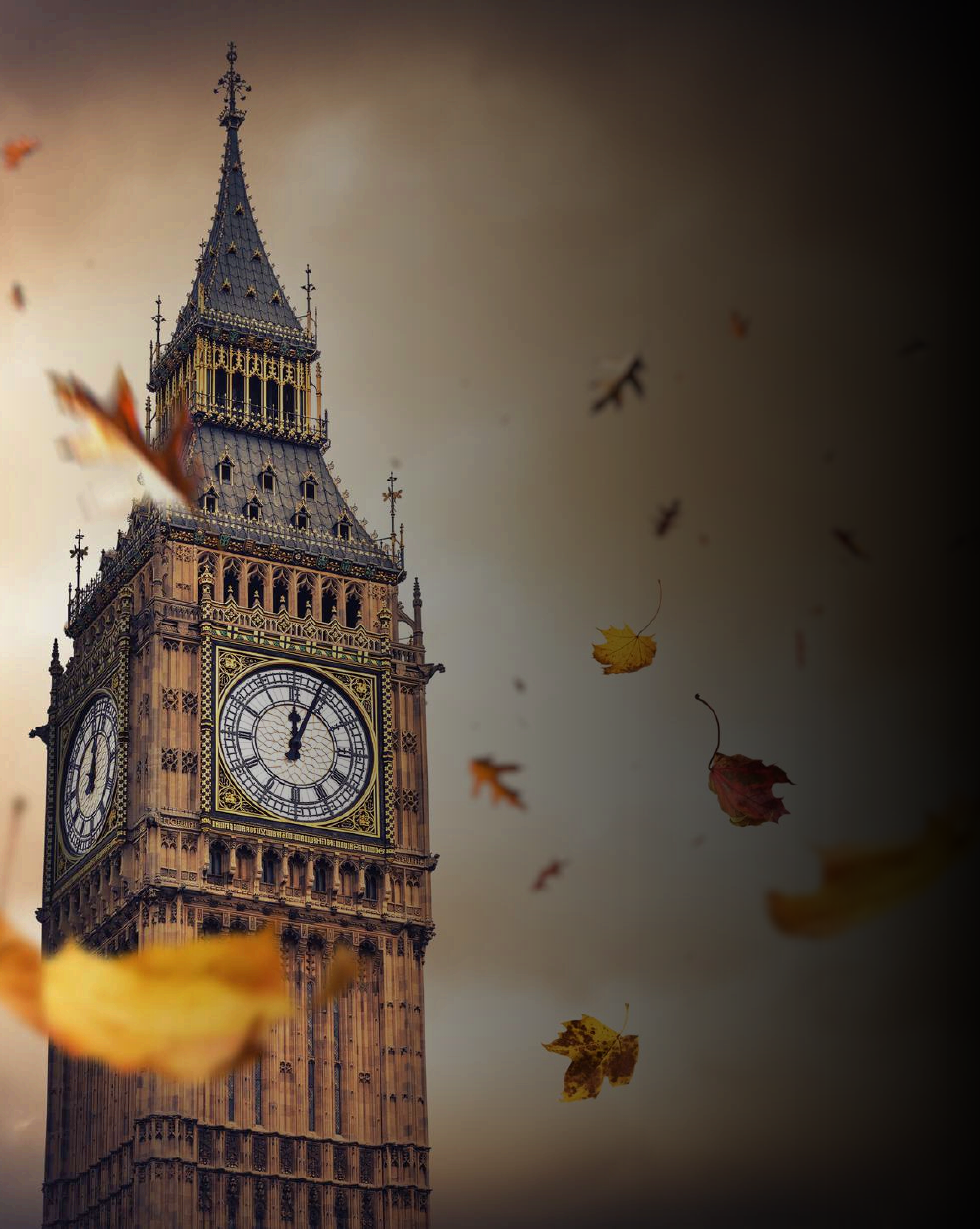
The final part of the programme deals with real-world challenges and the broader contract suite that surrounds the JOA: common JV problems (defaulting participants, fiduciary issues, “take-in-kind” disputes) and the additional agreements used in Brazil and internationally for unitisation, facilities, transportation, marketing, and divestment. This logical flow mirrors the life cycle of a project: understand the country and regime, choose and structure the basic contracts, design and adapt the JOA, manage operations and risks, and then handle problems and ancillary agreements as the venture evolves.mdtinternational+1[ppl-ai-file-upload.s3.amazonaws]



J. Jay Park KC

Few people are as excited about going to work every day as Jay. He brings unparalleled experience working with privately owned energy companies and governments to help them achieve success. Jay is a former practicing lawyer who has advised energy companies and governments for over 40 years in six continents, including in Albania, Algeria, Angola, Austria, Azerbaijan, Botswana, Brazil, Brunei, Cambodia, Canada, Chad, China, Colombia, Comoros, DR Congo, Egypt, Equatorial Guinea, Ethiopia, France, Germany, Guyana, India, Indonesia, Ireland, Iran, Iraq, Israel, Kazakhstan, Kenya, Kuwait, Lebanon, Libya, Madagascar, Malaysia, Mexico, Namibia, Niger, Nigeria, Oman, Pakistan, Peru, Russia, Saudi Arabia, Senegal, Somalia, South Sudan, Sudan, Suriname, Tanzania, Trinidad, Tunisia, Uganda, Ukraine, United Arab Emirates, United Kingdom, United States of America, Vietnam, Venezuela and Yemen. He provides executive and management advice, and serves in various executive and director roles.

Jay advised on the preparation and revision of laws and regulations that award petroleum rights, and negotiated agreements to explore, develop, produce, transport, and market energy resources. His vast expertise in energy matters and ability to connect global resources to capital and technology is highly sought after. He enjoys giving back and is involved in education around the world, including lecturing at conferences and universities, and teaching public and private training programs.
"My global experience has allowed me to witness first-hand how well petroleum regimes can benefit states and their citizens, while also meeting the needs of investors. That's why my passion for energy runs deep."



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